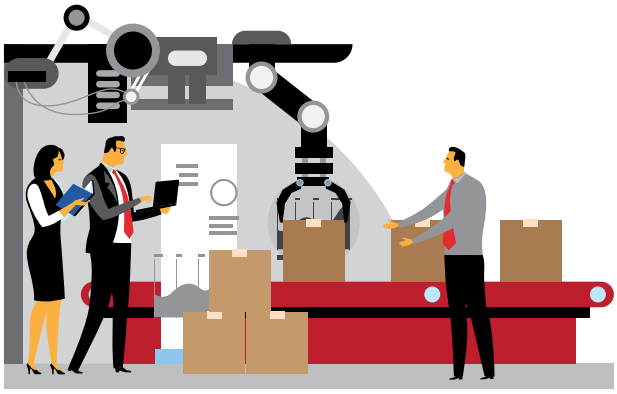
MSME

EXCISING REGULATORY CHOLESTEROL



The Union budget has reduced tariffs on several imports, including of machinery and materials essential for manufacturing lithium batteries used in the electric vehicles (EV) industry. However, protectionist policies remain in place for many other industries, impacting the competitiveness of MSMEs and their export potential, an issue the budget has largely remained silent on.

"No country can promote manufacturing while having a protectionist import regime. Both cannot coexist," says Anil Bhardwaj, secretary-general of the Federation of Indian Micro Small & Medium Enterprises (FISME). Manufacturing often requires importing specific raw materials, but high tariffs through higher import duties, anti-dumping duties and safeguard duties on essential inputs for MSME sectors (such as plastics, aluminium, steel, copper and textiles) drive up costs, making manufacturing expensive, and limiting exports.

"Raw material prices in India are high due to artificial barriers, which then impact all industries that rely on them," he explains. For instance, high tariffs on steel affect MSMEs in the auto components, capital goods, machinery and power sectors. While these aim to protect domestic manufacturers, they do raise input costs, reducing India's global competitiveness.

Small enterprises already feel limited, so too much regulation only further constrains their ability to start, sustain and scale

A SENSE OF UNEASE

Another big issue is the 'unease of doing business' in India. Regulatory compliance burdens hinder formalisation, reduce labour productivity, limit employment

DISINVESTMENT

Sell Loss Making PSUs, Earn Fiscal Space

Prime Minister Narendra Modi has often reiterated that the government has "no business to be in business". However, the plans to divest stakes in public sector units (PSU) in favour of private players—who could run the companies more efficiently—seem to have not kept up with that intention, at least for now. Instead, the Centre appears to be pouring more money into these firms, some of which are ailing.

Four years ago, in February 2021, when finance minister Nirmala Sitharaman presented the Union budget for 2021-22, there was a sense of optimism about disinvestment. For once, it seemed the government would sell off a few state-owned companies, even as it planned a mega merger and the offloading of assets. For FY22, the Centre had targeted Rs 1.75 lakh crore from PSU disinvestment, privatisation and asset monetisation. The plan included divesting Bharat Petroleum Corporation Ltd, Air India, Shipping Corporation of India, Container Corporation of India, IDBI Bank, BEML, Pawan Hans and Neelachal Ispat Nigam. However, except for Air India and Neelachal Ispat Nigam, which were acquired by the Tata Group, the divestment of the remaining enterprises has not taken off. The government repeatedly missed its targets, garnering only Rs 14,638 crore in FY22, as there were few takers for these enterprises. Additionally, the market value of some units declined amid stock market volatility.

The government repeatedly missed its disinvestment targets. For FY26, it has been kept at a modest Rs 47,000 crore. For FY25, the revised estimate is at Rs 33,000 crore

